SEPHORA

Sephora Media Network

Beauty intent. Commerce outcomes.

Prepared for

Alo Yoga

Lifestyle Brand x Beauty Retailer - Skincare Partnership Opportunity

46M+

Beauty Insider
Loyalty Members

3,200+

Stores Across
35 Markets

300+

Prestige & Indie
Brands Carried

The Strategic Context

Alo Yoga is executing a deliberate pivot from performance activewear to full lifestyle brand. Alo Glow, its skincare line, is the first major move into beauty. The question is where to launch it credibly, quickly, and at scale.

Alo by the numbers

$1B+ Estimated annual revenue (2023)

3.4M Instagram followers; Kendall Jenner & Hailey Bieber collabs

250+ Alo Sanctuary studios & retail stores globally

Alo Glow skincare — moisturizer, SPF, serum, tinted coverage — launched 2023

Why this partnership works for Alo.

01

Alo needs beauty credibility asap

Alo Glow System is a serious skincare launch, but Alo has zero beauty shelf presence. Sephora's editorial authority, Beauty Studio, and 46M loyalty members instantly legitimize the line.

02

Sephora needs Alo's cultural heat

Alo's Kendall Jenner, Hailey Bieber, and 3M+ TikTok collaborations bring Gen Z and millennial lifestyle clout. Sephora gains a brand-equity halo that paid media alone cannot buy.

03

Both own the same customer

Affluent, wellness-first, 25–38F, trend-aware, DTC-comfortable. Alo's customer is Sephora's Routine Builder. The overlap isn't coincidental, it's the strategic thesis.

46M+ Beauty Insiders. Unmatched category intent. Privacy-safe first-party data.

46M+
Beauty Insider Members

80%
of US beauty spend influenced online pre-purchase

5.2×
Higher ROAS vs. typical display (category avg.)

$79B
US Retail Mediaspend forecast (2027F, eMarketer)

Audience Segments (First-Party Signals)

Routine Builders	34% | Skincare regimen + replenishment
Newness Chasers	22% | Trend & social-driven discovery
Gift Givers	18% | Seasonal + occasion buyers
Services Seekers	15% | Studio visits + consultations
Clean & Conscious	11% | Ingredient + values-driven

Why This Audience is Different

High consideration category
Beauty shoppers research 3 to 5 products before buying. Sephora captures that research phase.

Loyalty depth
3 tiers Beauty Insider (Insider / VIB / Rouge) unlocks spend-based segmentation that competitors can't match.

Lifestyle-to-beauty crossover
Alo's customer (affluent, wellness-first, trend-aware) maps almost exactly to Sephora's Routine Builders segment, the highest value Beauty Insider tier.

Demographic premium
Median HHI $85K+, 62% millennials, 78% female. High disposable income, brand-loyal shoppers.

Sources: Sephora Newsroom Media Kit; Forbes 2026; LVMH 2025 Annual Report; eMarketer; BCG CPG Retail Media Benchmarking Survey

Sephora at a Glance

Founded 1969, Part of LVMH since 1997

World's leading beauty specialty retailer

~$22B

Annual Net Revenue

LVMH Selective Retailing 2024E

~12%

Operating Margin

LVMH Selective Retailing segment

+6%

YoY Organic Growth

2024 vs 2023 (LVMH Annual Report)

#1

US Market Position

Specialty beauty by revenue

Why Sephora Wins for Advertisers

Defensive moat vs. Amazon

Sephora's curation, services, and brand discovery create a differentiated trip vs. commodity purchase. Shoppers actively choose Sephora.

Digital-first but omnichannel-proved

App + website drive discovery, 3,200 stores close the deal. Consistent measurement across both creates the full-funnel proof advertisers' demand.

LVMH ecosystem access

Partnership opportunities span LVMH beauty houses (Dior Beauty, Givenchy, Benefit, Fenty) + lifestyle crossover brands like Alo Yoga, whose Alo Glow skincare line makes them a natural beauty aisle entrant.

Retail Media 3.0 ready

Self-serve buying, real-time closed-loop reporting, incrementality testing, and privacy-safe audience sharing—meeting evolving advertiser standards.

Sources: LVMH 2024 Annual Report; Sephora Newsroom; eMarketer US Retail Media Outlook 2025

Capture demand where shoppers already have purchase intent.

Sponsored Search

Win category keywords at the moment of intent.
Appear in search results for terms like “vitamin C serum,” “SPF moisturizer,” or “gift sets.”

KPIs: ROAS, New to Brand, Share of Voice

Formats: Text + product image, Category takeover

Sponsored Products & Display

Always on placements in browse, recommendation, and editorial modules. Homepage takeovers for brand moments and launches.

KPIs: CTR, Add-to-Cart, Consideration Lift

Formats: Banner, Module, Homepage skin, PDP widget

In-Store Screens & Sampling

Digital screens, endcap placements, and staff facilitated sampling in 3,200 stores. Reach shoppers at point of decision.

KPIs: Store Visit Lift, In-Store Sales Lift

Formats: Digital screen, Endcap, Sampling station

Beauty Studio Adjacency

Contextual placement adjacent to Sephora's Beauty Studio service areas - skin analysis, makeovers, consultations - highest intent moment in store.

KPIs: Service Conversion, NTB Acquisition

Formats: Screen takeover, QR-to-digital, Staff recommendation

Extend Sephora's audience beyond the store, with commerce outcomes still in view.

OFFSITE **Audience Extension**	OWNED **CRM & Lifecycle**	CREATORS **Creator & Social Commerce**
Programmatic display/video (open web)	Sponsored email to Beauty Insider segments	My Sephora Storefront creator program
Social amplification (Meta, TikTok, Pinterest)	Push notification placements (app)	Shoppable video (TikTok Shop integration)
CTV & streaming (Hulu, YouTube)	Triggered messages: cart, browse, lapse	Creator whitelisting + affiliate links
DSP-powered targeting using 1P segments	Personalized offers + loyalty tier activations	Live shopping events + in-app checkout
Best for: Reach + upper funnel prospecting	**Best for:** Retention + re-engagement	**Best for:** Consideration + culture + conversion

Social commerce tailwind: US social commerce $36B (2021) grew to $80B (2025E) · 75% of live-shoppers want more shows · 61% of adults <25 have purchased in-app

Retail grade, closed loop measurement - from impression to verified purchase.

Impression
Onsite / offsite / in-store reach

→

Engagement
Clicks, video views, page saves

→

Commerce
Add to bag, purchase, ROAS

→

Incrementality
Lift vs. holdout, new-to-brand

Standard KPIs Delivered

- ✓ ROAS / Incremental ROAS (iROAS)
- ✓ New-to-Brand %
- ✓ Basket Attach Rate
- ✓ Category Share Lift
- ✓ Store Visits (where applicable)

Reporting & Methodology

Weekly Dashboard:
Spend · impressions · CTR · sales · ROAS

Post-Campaign Wrap:
What worked · creative learnings · next actions

Incrementality Testing:
A/B holdouts + synthetic control groups

Privacy-Safe Insights:
Audience analysis without PII exposure

Retail Media 3.0 table stakes: self-serve buying · programmatic · real-time closed-loop · standardized measurement (IAB guidelines)
Sources: BCG RM 3.0 framework; IAB/MRC Retail Media Measurement Guidelines Jan 2024

06 / CASE STUDY - ALO YOGA x SEPHORA

Campaign: "Glow in Motion"
Objective: Launch Alo Glow System skincare line on Sephora.com + drive in-store awareness · Lifestyle brand x beauty retailer

Opportunity

- Alo is pivoting from activewear to full lifestyle brand. Alo Glow System is its skincare entry
- Challenge: break into beauty where Alo has no shelf presence or credibility yet
- Sephora's 46M Beauty Insiders = instant access to high-intent skincare shoppers
- Alo's influencer equity (Kendall Jenner, Hailey Bieber collabs) amplifies both brands

Solution

- Onsite: “New Arrivals in Wellness Beauty” editorial module + sponsored search for “clean skincare”
- Creator: Alo's existing influencer roster whitelisted through Sephora's creator storefront
- CRM: sponsored email to Routine Builders + Newness Chasers segments (VIB + Rouge tier)
- In-store: Beauty Studio sampling of Alo Glow System + endcap with QR to Sephora PDP
- Offsite: TikTok + Instagram audience extension using Sephora 1P skincare affinity data

Results (Illustrative)

- +40% Alo Glow search lift on Sephora.com within 4 weeks of campaign launch
- Sell-through rate 2× category average for new skincare brand launches
- 6.2M total impressions, 40% via creator/social extensions
- Sephora brand sentiment +12pts among 18–29 female shoppers
- Highest ROAS: TikTok audience extension via Sephora 1P skincare data (8.4×)

** Illustrative mock case study. Format modeled on Walmart Connect, Roundel, and Sephora Newsroom examples. Results are directional, not from a live campaign.*

SEPHORA

Let's Build Your Next Growth Story.

Suggested Next Steps

1) Align on campaign objectives + target audience segment
2) Select format mix (onsite / offsite / in-store)
3) Build creative strategy + closed-loop measurement plan
4) Launch, Learn, Iterate

Package Tiers

Starter

Sponsored search + sponsored products
Always-on, self-serve buying

Growth

Add display + CRM email/push
Audience extension, weekly reporting

Signature

Full omnichannel + lift testing
Custom content + dedicated strategy